

**Time:** 5 minutes**Outcome:** Analyze Tacit Coordination, Price Leadership & Nonprice Competition.**Difficulty:**

Intermediate

## Tacit Coordination, Price Leadership & Nonprice Competition



### THE CORE IDEA

Tacit coordination aligns firms' behavior without an explicit agreement. With price leadership, rivals follow a leading firm's price changes. Kinked demand illustrates price rigidity when rivals match cuts but not increases, creating a gap in marginal revenue (MR). Firms can still compete through quality, service, and advertising.



### HOW TO RECOGNIZE IT

- Price leadership occurs when rivals follow a leading firm's price changes.
- A kink and an MR gap can explain unchanged price after a modest cost change.
- Improved quality or service is nonprice competition.

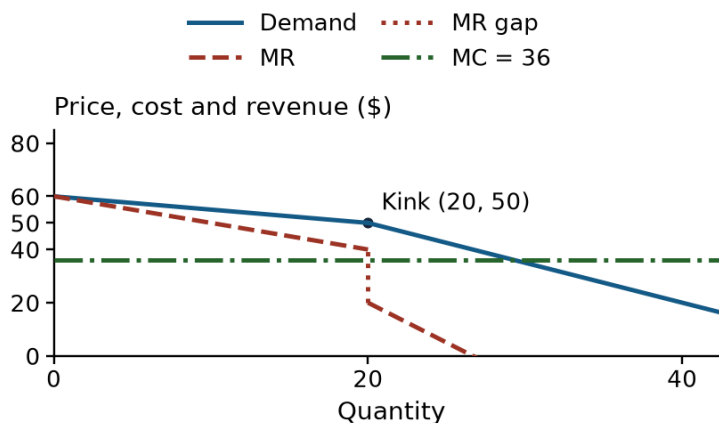


### WATCH OUT

This is one simple model of price rigidity, not a claim that all oligopoly prices stay fixed. Firms can also compete through quality, service, and advertising.



### WORKED EXAMPLE: PRICE RIGIDITY AT A KINK



The kink is at  $Q = 20$  and  $P = \$50$ . Rivals match price cuts but not increases, so demand is steeper below the kink. Marginal revenue jumps down from \$40 to \$20 at  $Q = 20$ .  $MC = \$36$  lies in that gap: cost changes that remain within it leave the chosen price and quantity unchanged.



### CHECK YOURSELF

In the displayed model, MC rises from \$36 to \$38. Do price and quantity change, and why?

**READY?**

Return to the game and master this concept.